Diversification

Session 22

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Agenda for today

1. Diversification
2. Motives for Diversification
3. Competitive Advantage and Diversification
4. Performance and Diversification

Business vs. Corporate Strategy

Strategic Management

Business Strategy

How does a firm compete in a given industry?

- **Competitive strategy** and **positioning**
- **Resource-based view**

Corporate Strategy

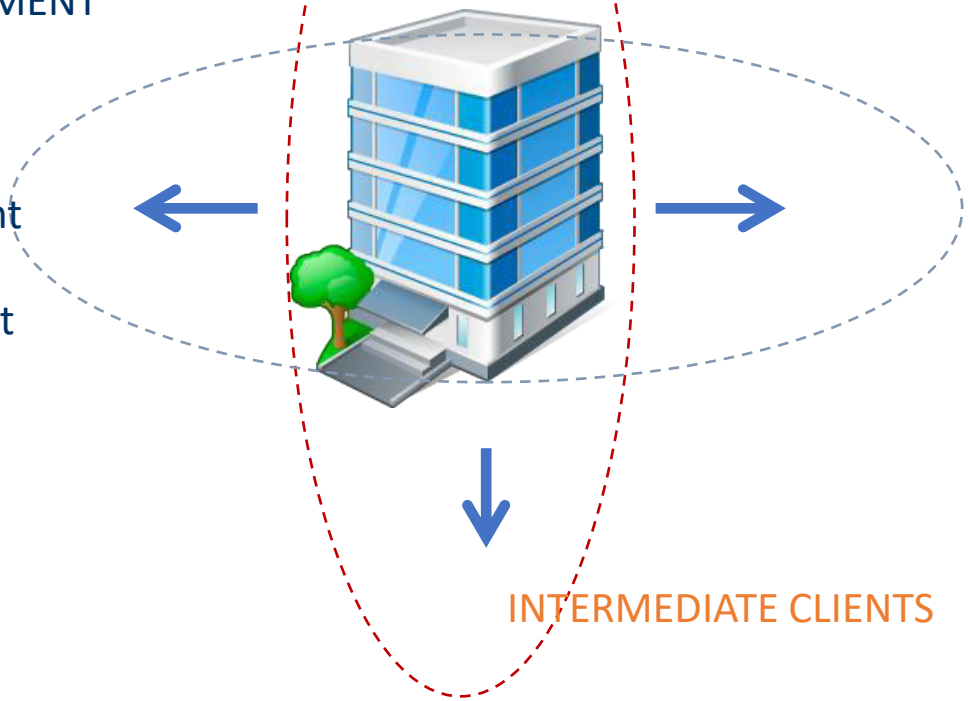
Where does a firm compete → boundaries of the firm

- Scope of the firm:
1) **Vertical** boundaries (Vertical integration)
2) **Horizontal** boundaries (Diversification)
3) **Geographical** boundaries (Internationalization)

VERTICAL INTEGRATION

SUPPLIERS

HORIZONTAL DEVELOPMENT



INTERMEDIATE CLIENTS

- Diversification
- Product development
- Market penetration
- Market Development
- Internationalization
- Etc.

✓ Organic
✓ Inorganic

Internal Growth (ORGANIC): Growth of new investments or assets within the company.

This is the most common way of growth. It requires hiring new resources to create a new production capacity in the system.

External growth (INORGANIC):

Growth through acquisition, participation, partnership or assets control of companies.

This is a quick way to grow, but difficult to integrate harmoniously.

1. Diversification

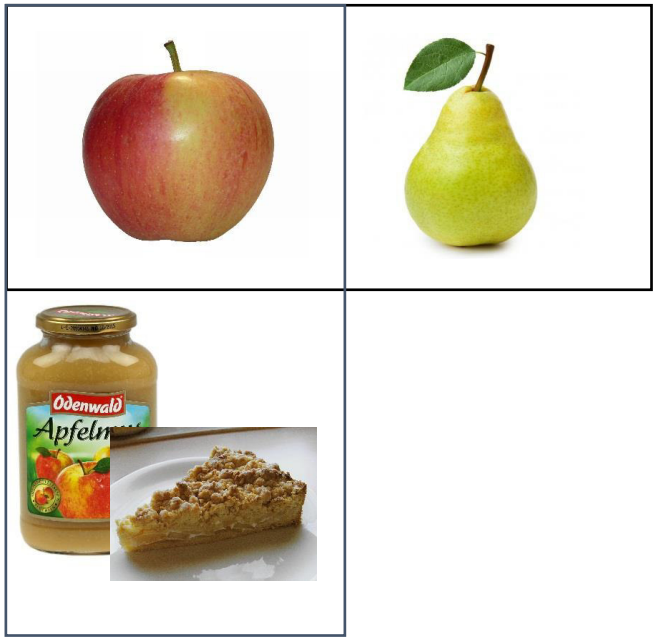
2. Motives for Diversification

3. Competitive Advantage and Diversification

4. Performance and Diversification

What is diversification?

Degree of **firm's control** of activities in related or unrelated industries and markets.



Diversification

Vertical integration

Types of diversification

Specialized Firm

No diversification

Arcelor Mittal Steel

ArcelorMittal



Related Diversification

Estee Lauder Fragrances

Estee Lauder Cosmetics

ESTĒE LAUDER COMPANIES





Unrelated Diversification

Virgin Atlantic

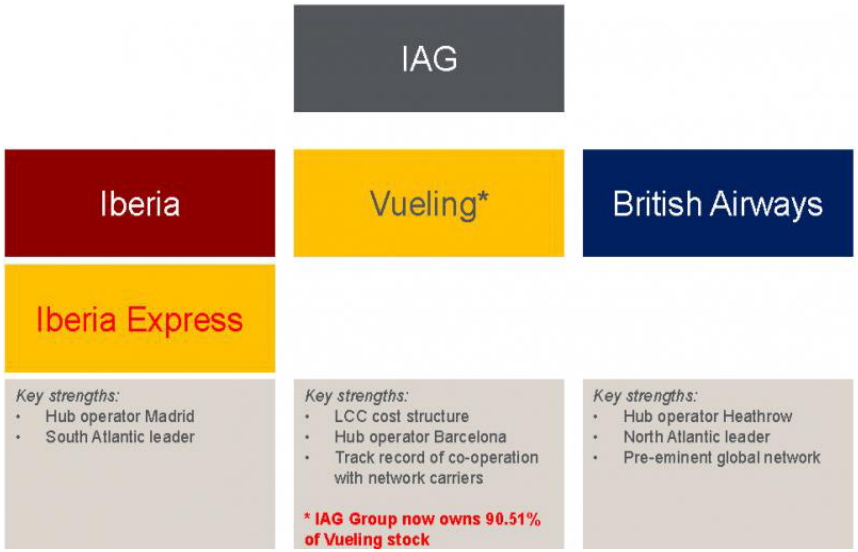
Virgin Wines

Virgin





RELATED & NON RELATED






180 low and
no-calorie choices

Vs.


PEPSICO
Yum!
QUAKER
Tropicana
pepsi
Dole

Conglomerate → Very diversified lines of businesses

Example of LVMH: A luxury conglomerate

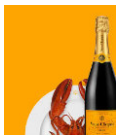
LVMH

Louis Vuitton Moët Hennessy

- *What is common link between these brands?*
- *Are they related or unrelated diversification?*

1) Wine & Spirits











2) Fashion and Leather goods

Dior

FENDI

CÉLINE

MARC JACOBS

LOEWE

KENZO

BVLGARI

3) Perfumes & Cosmetics











4) Jewellery & Watches

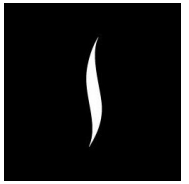








5) Distribution







RELATED DIVERSIFICATION → Product Strategies (within industry diversification) and performance

- How should firms implement related diversification **(product strategies)**?

VERSIONING

= Portfolio depth or within niche diversification

= Multiple variations of a product within a given niche



PORTFOLIO BROADENING

= Across niche diversification

= A firm's product strategy covers several industry niches

L'ORÉAL PARIS → Professional

BIOTHERM → Pharmacy

GARNIER → Mass Market

MIXED STRATEGIES

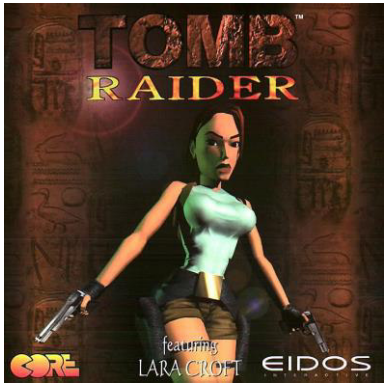
Versioning

Offering the customer a wide variety of products within a niche.

Outcome Strategy → NICHE LEADER

Pros (+) : Economies of learning

Cons (-) : Probability of Demand Cannibalization















Product Strategy

(PORTFOLIO BROADENING or Product Amplitude)

Offering the customer a wide variety of products that satisfies a special need or value proposition.

Outcome Strategy: ONE STOP SHOP PROVIDER

Pros (+) : higher market base and less specialization

Cons (-) : Lower brand loyalty











Hyundai XG Premium
Luxury niche

Hyundai Accent
Small cars niche





Hyundai Santa Fe
Multipurpose vehicle niche

RELATED DIVERSIFICATION

"Don´t put all the eggs in the same basket"



BENEFITS

- Economies of scale
- Improve brand perception
- R+D+i synergies
- Marketing and commercial synergies.

COSTS

- Concentration of risks on a specific brunch of products or services.
- Potential damage of the initial brand.

NON RELATED DIVERSIFICATION

"Jack of all trades, master of none"

BENEFITS

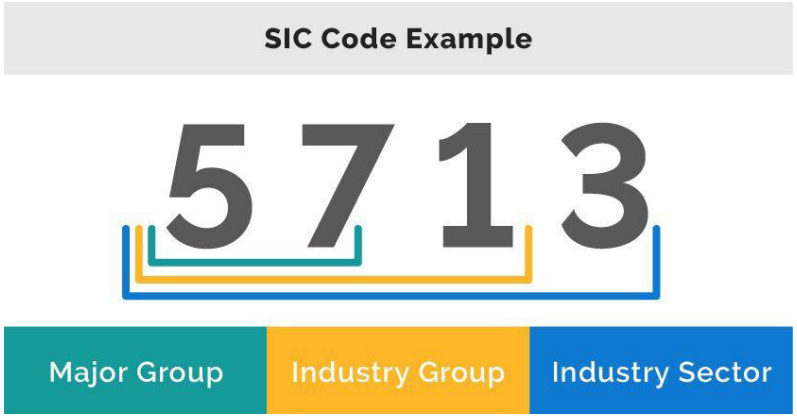
- Global Enterprise Risk Reduction
- Stability in the flow of benefits
- Resource Allocation

COSTS

- Danger of damaging the traditional business.
- Existence of barriers to entry the new industry.
- Complexity on:
  - Management capacity.
  - Experience and knowledge.

How do we measure Diversification?

- The classical approach to measure product- or market-diversity relies on SIC codes (4 digits industry codes)
- Different diversification indices can be created such as Gort Index, Berry index, Herfindahl index (HH).
- Alternative: Patents and trademarks



There is a great deal of variation in the way diversification is conceptualized, defined, and measured.

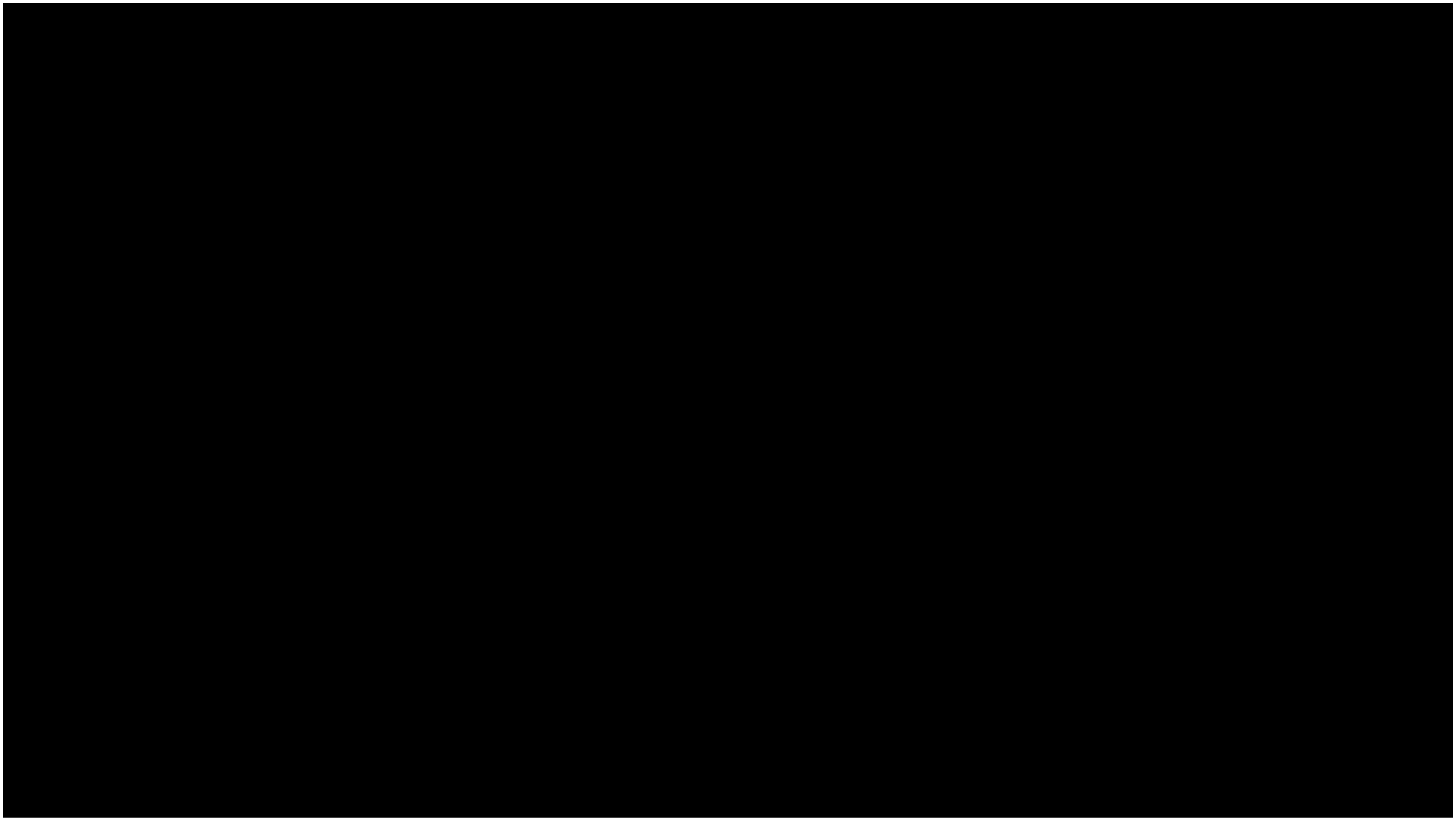
To Gort (1962) diversification represents the number of markets served. Thereby he used the concept of "heterogeneity of output".

Berry (1974) defined diversification as an increase in the number of industries in which firms are active.

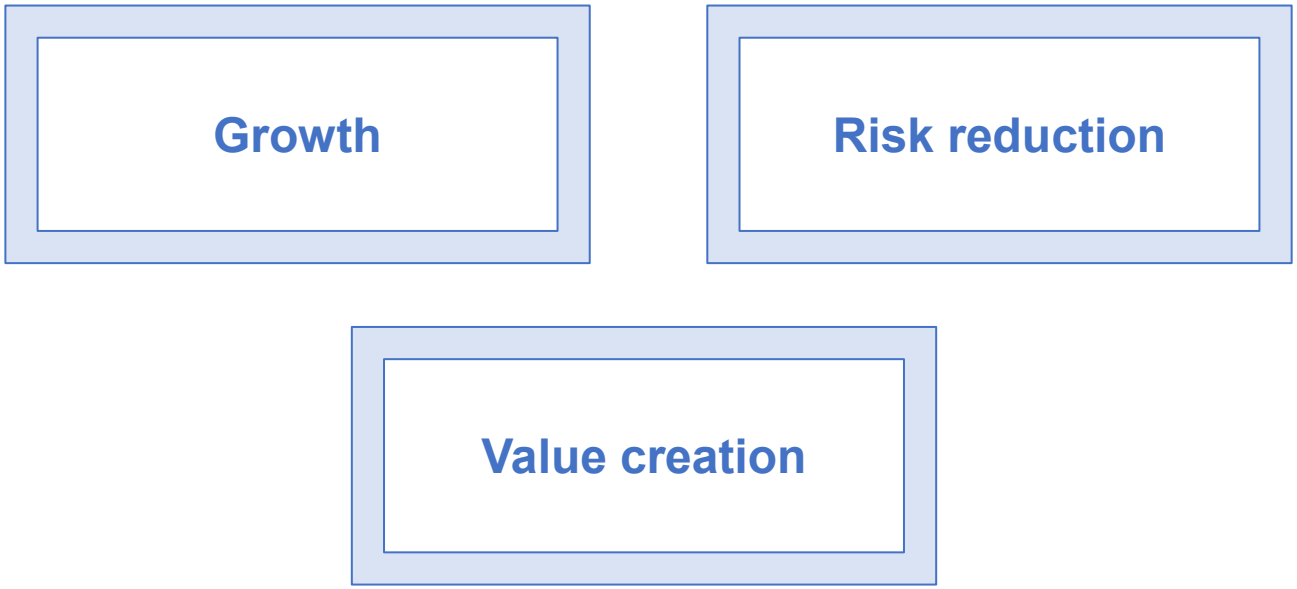
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McDonald's Diversification Strategy https://www.youtube.com/watch?v=UuS5_ZAUT68&t=82s

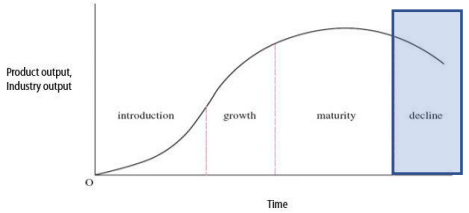


Motives for diversification



1. Growth

1. The desire to escape **no growth or declining** industries is a powerful motive for diversification (e.g. tobacco, oil, newspapers)
2. Diversification is very successful in generating revenue growth, especially when achieved through acquisitions.
3. Some times is the only way in mature industries.



What are consequences in terms of PROFITABILITY?

1. It depends on whether the additional revenue sometimes outweighs the costs for the diversification efforts.
2. Diversification sometimes becomes a cash drain for companies in declining industries.

2. Risk reduction

- Diversification **reduces risk for a firm** when cash flows of diversified and existing **businesses are uncorrelated**. (**Unrelated Diversification**)

Does diversification offer advantages for the shareholders of a company?

- Shareholders can easily diversify portfolios of securities. Diversifying a portfolio of securities is less costly than diversification efforts of a firm.
- Diversification **only lowers unsystematic risk**

Systematic risk refers to the risk inherent to the entire market. Systematic risk, also known as "undiversifiable risk," "volatility" or "market risk," affects the overall market, not just a particular stock or industry.

Unsystematic risk is the risk that is unique to a specific company or industry. It's also known as nonsystematic risk, specific risk, diversifiable risk, or residual risk.

3. Value creation: Porter's "three essential tests"

Industry attractiveness on its own is insufficient to justify diversifying into another industry

1. **The attractiveness test** → Attractive industry?
   - The industries chosen for diversification must be structurally attractive or capable of being made attractive
2. **The cost-of-entry test** → Increase overall profits?
   - The cost of entry must not capitalize all the future profits
3. **The better-off test** → Create some competitive advantage or synergies?
   - Either the new unit must gain competitive advantage from its link with the corporation or vice versa (i.e. some form of "synergy" must be present)

In the past, diversification efforts often have been driven by:

growth and risk reduction motives

Last decades:

- Firms (re-) focused on their core business
- Conglomerates split into separate businesses

"Focus and Stick to what you know / what you're good at?"

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How can firms sustain the diversification? → Creating Synergies

→ pass the better-off test → **Diversification may create Economies of Scope**

Operational relatedness

1. Sharing **tangible** resources (research labs, distribution systems, channels) across multiple businesses
2. Sharing **intangible** resources (brands, technology) across multiple businesses

Strategic relatedness

3. **Transferring functional capabilities** (marketing, product development) across businesses
4. Applying **common general management capabilities** to different businesses

Reminder: Economies of scope → Using a resource across multiple activities uses less of that resource than when the activities are carried out independently

How can firms save transaction costs via diversification?

1. Internal capital markets

- By maintaining a balanced portfolio of cash-generating and cash-using businesses, diversified firms can avoid the costs of using the external capital market
- Diversified companies have better access to information on the financial prospects of their different businesses

Challenge → Investment allocation within the diversified company is a politicized process (Fosters lobbying and other unproductive activities)

2. Internal labor markets

- Transfer employees between their divisions (less hiring and firing, reduce information asymmetries for hiring)
- Attract higher caliber of employees by offering a broader set of career opportunities.

Take - aways…

1. Diversification has the potential to **create value** if:
   - It exploits Economies of scope
   - Costs for diversification < Transaction costs (go to the market)
2. Diversification that seeks only growth or risk reduction is likely to destroy value

1. Diversification

2. Motives for Diversification

3. Competitive Advantage and Diversification

4. Performance and Diversification

Does Diversification increase performance? Empirical findings

1. How do Specialized firms perform vs. Diversified firms?

Is it better to be a Specialized firm or Diversified firm?

2. Does Related diversification outperforms Unrelated diversification?

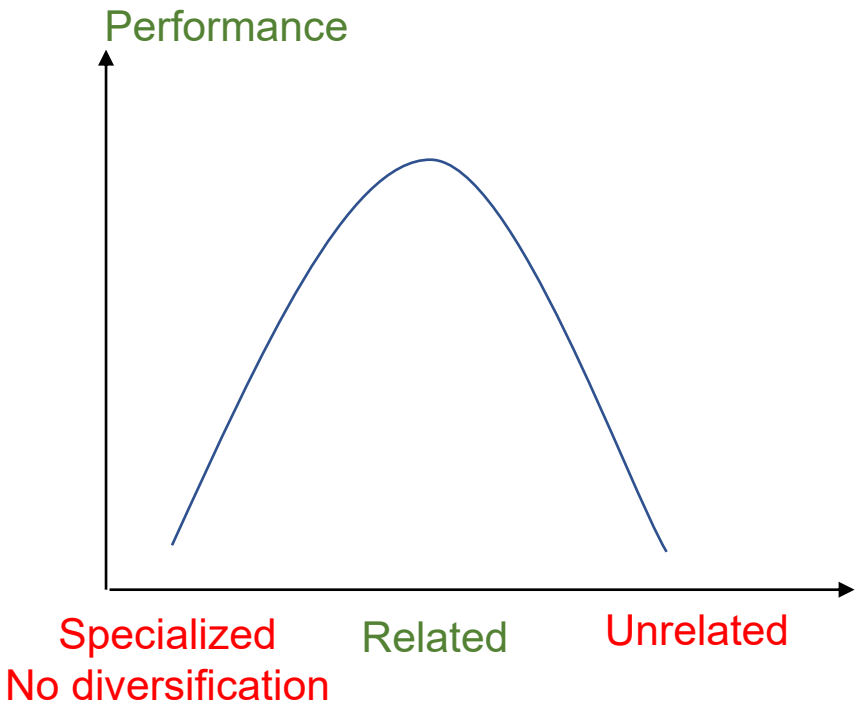
What is better Related or Unrelated diversification?

3. Is there a relation between Diversification and Resources and Capabilities?

Resources & Capabilities → impact on successful Diversification?

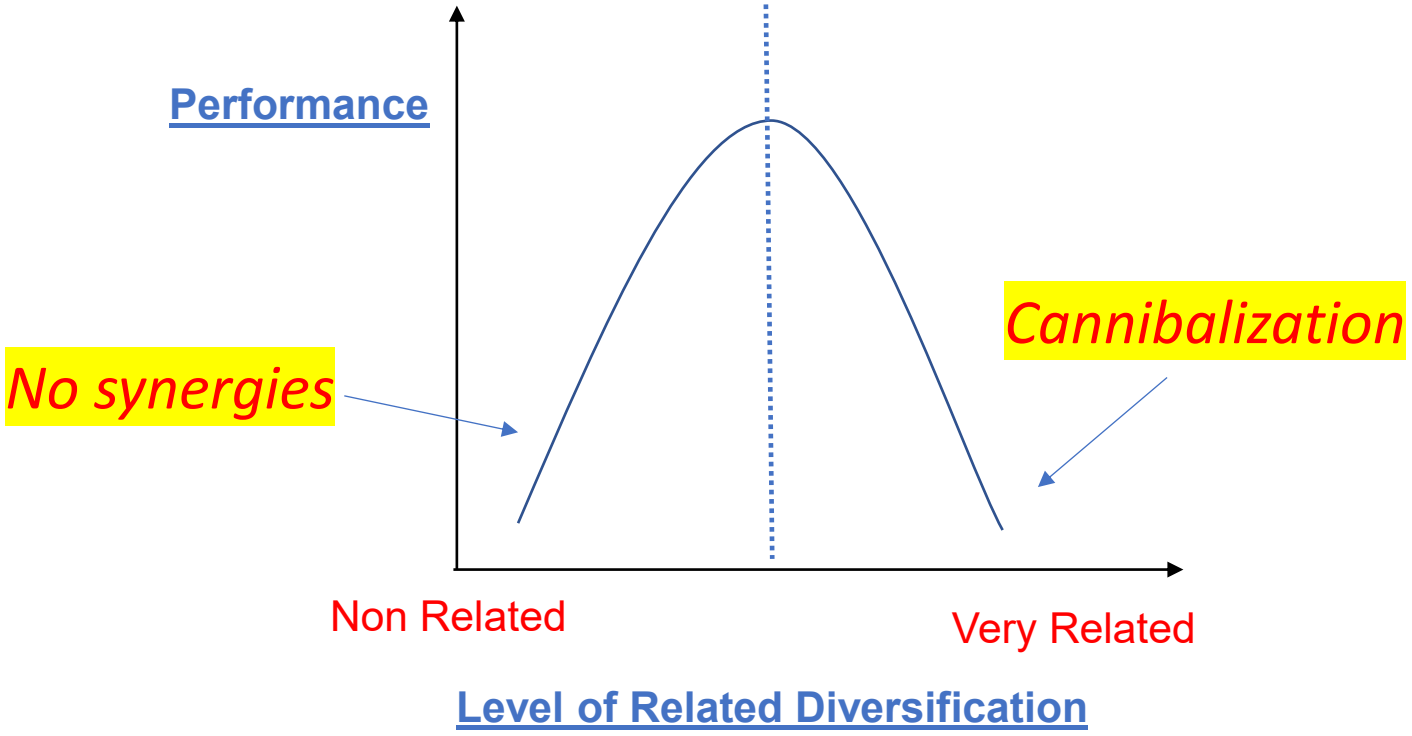
1. Is it better to be a Specialized firm or Diversified firm?

- Companies that diversify into businesses closely related to their core activities are significantly more profitable than those that pursue unrelated diversification (Rumelt, 1982)



2. What is better Related or Unrelated diversification?

- Diversification ***enhances profitability up to a point***, after which further diversification reduces profitability due to the increasing cost of complexity (inverted U-shape) (Rumelt, 1982)



3. Is there a relation between Diversification and Resources and Capabilities?

Diversification and performance *depends on the type of RESOURCES & CAPABILITIES owned by a firm* (e.g., Helfat & Eisenhardt, 2004; Levinthal & Wu, 2010)

- **Non scalable Resources & Capabilities → LOW SYNERGIES**
  - Involve opportunity costs
  - The *application of the resource/capability in one product niche limits options to use the resource/capability in another niche*

  (e.g., managerial attention)

- **Scalable Resources and Capabilities → HIGH SYNERGIES**
  - No opportunity costs (*e.g., software, brand*)
  - Simultaneous application in different product niches can even create positive synergies.

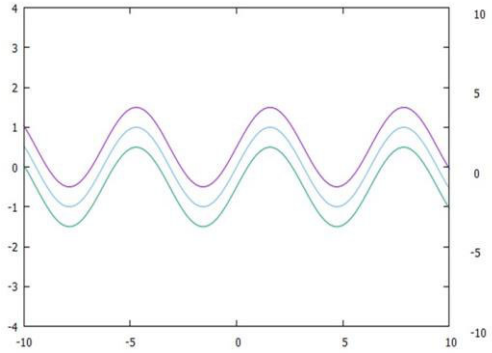
	Scale free Resources	Non-scale free resources
Definition	Fungible resource whose use is not taxed regardless of how many times it gets used it is employed across units or in the product portfolio (classical examples brand or general-purpose technology)	The opposite of scale free. It is resources that is limited in its use and that creates opportunity costs when it is applied (classical examples for instance distribution channels, shelf space, money, managerial attention)
Growth mechanism	Synergies (based on economies of scopes and complementarities)	Redeployment or reallocation (based on opportunity costs)
Performance Impact	**SYNERGETIC** relationship moves the products and businesses in parallel. If a firm diversifies with a strategy based on scale free assets, any variance in product sales growth across the portfolio may be detrimental to the firm's overall growth.	**REALLOCATION** predicts that if some products in the portfolio gain success at the expense of others, and performance across the distinct lines does not have a consistent direction. If instead it relies on non-scale free resources, varying performance across product lines could enhance its overall growth prospects

Temporal economies of scale and Diversification

- There can be intra-temporal and inter-temporal economies of scope *(Helfat & Eisenhardt, 2004)*

SYNERGIES

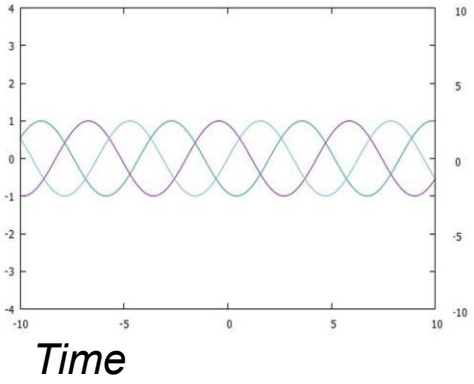
Intra-temporal economies of scope
Using a resource **for multiple things at the same time**



e.g.: *AMAZON. Using a particular technology (internet and big data) for many business (AWS cloud computing; online shop; streaming…)*

REALLOCATION

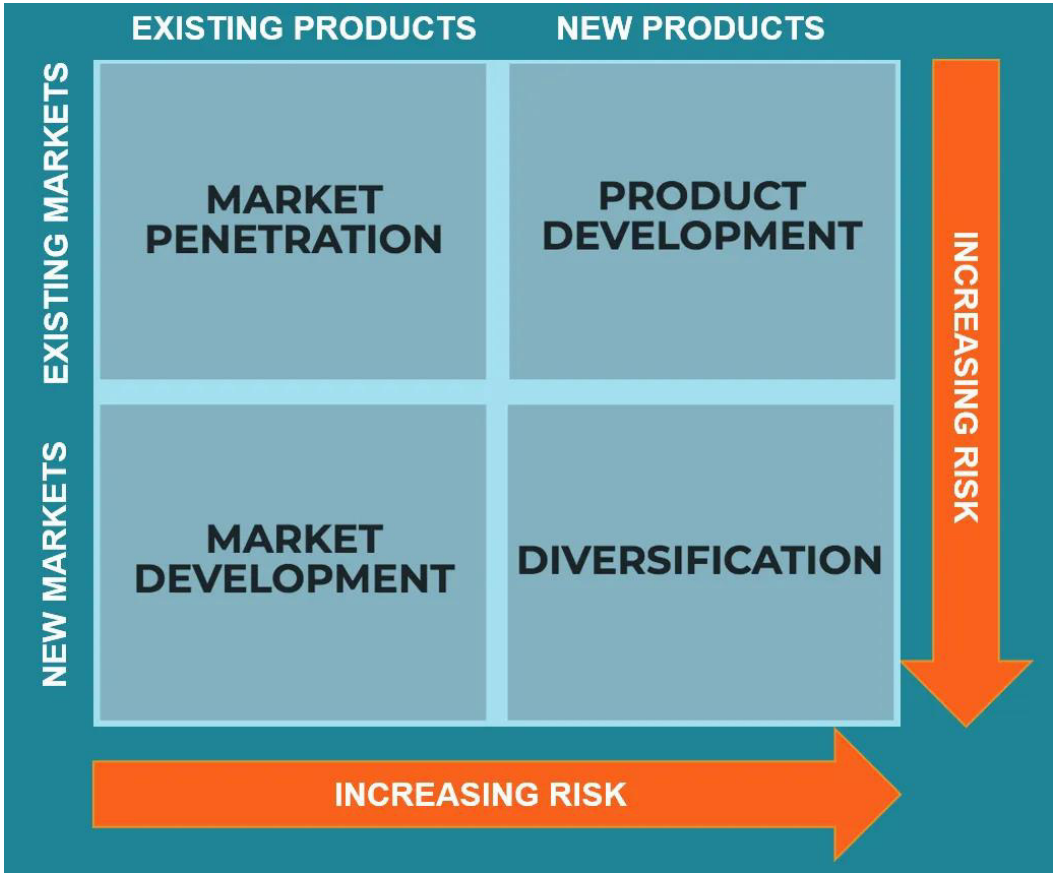
Inter-temporal economies of scope
Using a resource for multiple things over time



e.g.: *SOCCER TEAM. Soccer teams own an asset which is expensive, the soccer field. They diversify to other ways of entertainment (concerts or shows) to a better use of the soccer field which is a costly asset.*

Ansoff Matrix (3m)

https://www.youtube.com/watch?v=FvzcBFrnWpI

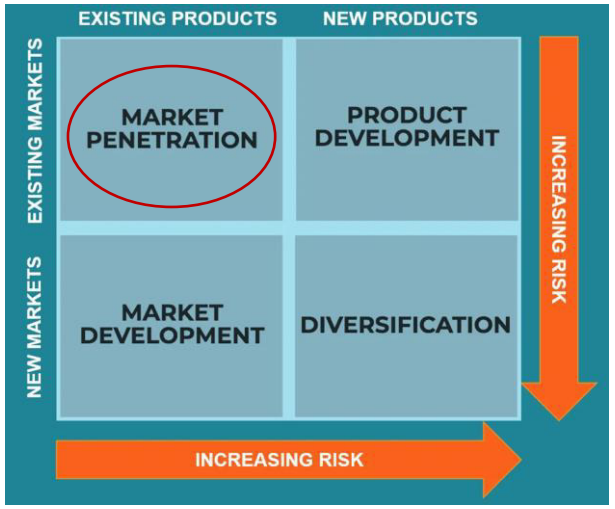


Ansoff Matrix (3m) OPTIONAL

https://www.youtube.com/watch?v=FvzcBFrnWpI



1. MARKET PENETRATION



Increasing sales of existing products to an existing market.

¿How?

1. Increasing sales to existing customers
2. Taking customers from competitors
3. Capturing non customers from the existing market.

¿Which means may we use?

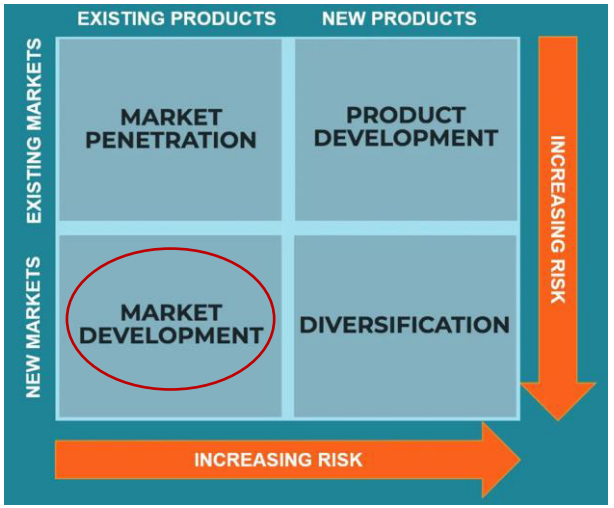
Marketing → Promotion and Advertisement

Example

Ex: Johnson & Johnson (Baby body soap and mothers champoo)

"If it is good for the baby, imagine for the hair of the mother"

2. MARKET DEVELOPMENT



Entering a new market using existing products.

¿How?

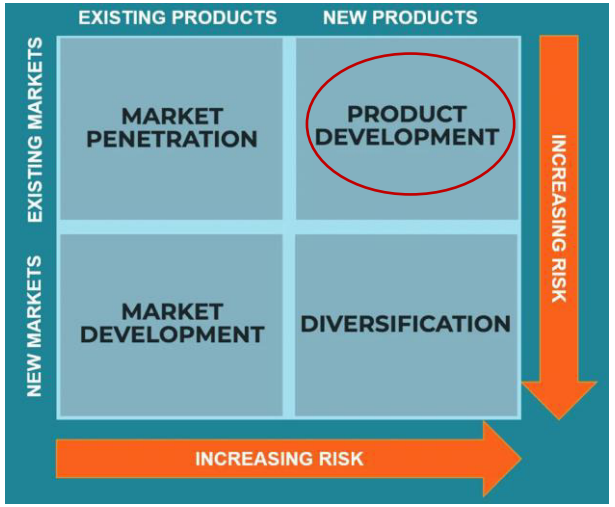
1. Find new market geographically
2. Internationalization.
3. Attract other customer profile. (New market in the same place)

Marketing → Distribution & Brand positioning

Example → Acuarios / Gatorade

Ex: Massive consumption of sport drinks for ordinary people

3. PRODUCT DEVELOPMENT



Introducing new products to an existing market.

¿How? → Innovation

1. Product Innovation
2. Service Innovation
3. Process Innovation
4. R+D (Research and Development)

¿Which means may we use?

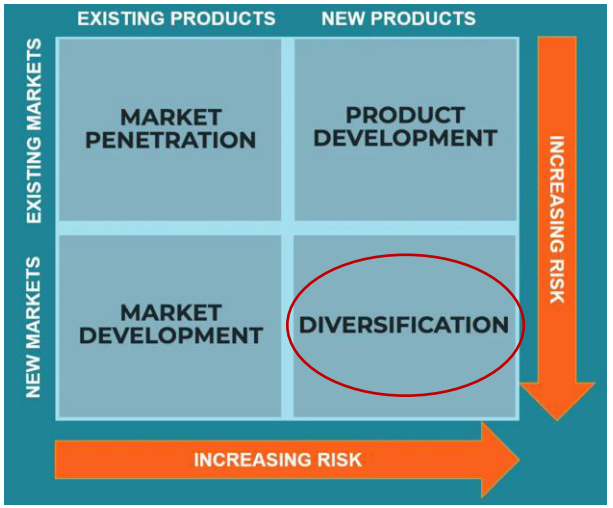
Engineering → R+D & Innovation

Example

Ex: Diet Coke, Non caffeine coke, Coke, sherry coke, …etc → Horizontal diversification

Ex: Iphone (Phone + Music + Agenda + Apps +….) + ITUNES (Service)

2. DIVERSIFICATION → Session 23



Entering a new market with the introduction of new products.

1. Vertical Diversification

(Do activities on the Industry Porters Value chain

2. Horizontal Diversification

2.1. RELATED DIVERSIFICATION

2.1.1. **Market-related** Concentric diversification

Ex: Zara → Clothes + Perfumes + shoes

2.1.2. **Technology-related** Concentric diversification

Ex: Sony → TV + Music + Cameras + etc.

2.2. NON RELATED DIVERSIFICATION

Conglomerate Diversification →

Ex: PepsiCo group → Soft drinks + Restaurants + etc.

The Ansoff Matrix Defined | How Amazon Uses this Tool to Expand Globally (7m)
https://www.youtube.com/watch?v=Y-2KXd6Cpak

	existing products	new products
existing markets	Market penetration strategies • Increase market share with new customers • Increase sale volume for with existing customers • Increase frequency of usage • Increase the amount of used products • Identification of new applications and usage possibilities for existing products	Product development strategies • Product improvement • Extension of product groups • Development of new products for the same market
new markets	Market development strategies • Develop new markets for existing products • Identification of new geographies • Identification of new market segments and new customer segments	Diversification strategies • Vertical diversification • Horizontal diversification / Diversification towards a related business (concentric diversification) • Diversification towards a new business (conglomerate diversification)

What is diversification? (watch at home)

Business Diversification (6 min.) https://www.youtube.com/watch?v=50-d__Pn_Ac



Thanks a lot!

Any questions?